

FEDERAL MARITIME COMMISSION

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HANGZHOU QIANWANG DRESS CO., LTD.

Docket No. 17-02

Complainant,

-against-

RDD FREIGHT INTERNATIONAL INC.

Respondent.

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**RDD'S BRIEF AND MEMORANDUM EXCEPTING TO ALJ'S INITIAL DECISION
UNDER 46 CFR 502.227**

Respondent RDD FREIGHT INTERNATIONAL INC. ("RDD"), by and through its undersigned counsel, hereby taking exception to the Initial Decision made by ALJ on the ground that RDD has settled the claims in dispute at bar and paid for the damages in full settlement of the Complainant's claims for its alleged losses and damages against Respondent RDD.

STATEMENT OF FACTS

1. RDD was and still is a licensed cargo forwarder and a Non-Vessel Ocean Carrier and has been carrying the surety bonds which became the Complainant's target.
2. RDD carried the goods in question under Bills of Ladings issued but denies the rest of the Complainant's allegations under a shipping contract with the Complainant for transportation of the goods in question.
3. Complainant had agreed but later refused to pay freight charge in breach of the said contract.
4. Under the said Bills of Lading, the three containers of goods became the subject matter of this case whereby the Complainant seeks to recover the invoice value of the goods in question – from RDD but not from SWAK Kids Inc. was the designated consignee.

5. While waiting for the Complainant's instructions, RDD's employee was defrauded and misled into releasing the goods to the said consignee – in a good faith and bona fide effort to save the \$450.00 per day demurrage for the said Consignee.
6. The Consignee SWAK KIDS, upon paying the Complainant the sum of \$10,000, has failed to pay the balance of \$123,408.00, which constitutes the Complainant's claim in this case.
7. Complainant never tried to collect the said sum of money from the Consignee SWAK KIDS, nor to even contact them to collect the same. In an email letter addressed to the FMC, the digital signature contains "Kid Apparel Club" which is the same as the Consignee SWAK KIDS! RDD submits that the Complainant has colluded with SWAK KIDS to extract monies from RDD (RDD Exhibit 5).
8. RDD has counterclaimed that the Complainant had conspired with the said consignee to make RDD pay out of its surety bonds.
9. On or about May 17, 2018, while this case is still pending, the Complainant has settled its claims against RDD and Zhejiang Handsome Int'l - its counterpart in China under the Chinese Court Procedures whereby RDD would pay the sum of \$61,704.00 representing 50% of the value of the claims; RDD paid and Complainant received in full settlement of its claims. The 3-Party Settlement Agreement was accepted as supplemental evidence which became the focus of this underlying decision.

THE INITIAL DECISION

In her Initial Decision, ALJ Wirth made the conclusion that RDD, as an NVOCC, has violated the Shipping Act by releasing the goods in question without obtaining original bills of lading. Upon finding violation, AJL assessed damages in favor of the Complainant despite the fact that the Parties had settled the same claims in Ningbo Maritime Court

China and RDD had paid for the same in full settlement of the underlying claims.
("Decision")

ARGUMENT

1. It is well-established that the law favors settlement among the litigating parties in the interest of judicial economy and cost-effectiveness of the legal process. This Commission has found settlement especially favorable and supportable when the parties are confronted with the prospect of expensive lawsuit and uncertain outcome. General Motors v. Nippon Yusen Kabushiki Kaisha et al. No. 15-08, 2016 WL 4157600 at *2 (ALJ July 29, 2016); Celanese Corp. v. The Prudential Steamship Co., 20 S.R.R. 27, 30 (ALJ 1980)
2. On or about May 17, 2018, while this case is still pending, the Complainant has settled its claims against RDD and Zhejiang Handsome Int'l - its counterpart in China under the Chinese Court Procedures whereby RDD would pay the sum of \$61,704.00 representing 50% of the value of the claims; RDD paid and Complainant received in full settlement of its claims.
3. During the Chinese court proceedings leading to settlement, both the Complaint and Respondent, having been represented by counsel, were fully aware of the circumstances and legal ramifications of resolving the dispute and reaching the settlement. It follows that the Court should favor a finding that the settlement is "fair, correct and valid." Old Ben Coal Co. v. Sea-Land Service, Inc., 18 SRR 1085, 1092 (ALJ 1978)
4. In its Declaration "from" Hangzhou Qian Wang Dress submitted as "Supplemental Evidence" dated May 7, 2018, Complainant started a lawsuit...and then settled with them through the court on one condition, which is RDD gives us an one-time

compensation of 50% of our loss, which means 61707 US Dollars in total.” (Decision at Page 8) Complainant has admitted and it is without dispute that RDD paid and Complainant received the said sum in full settlement of its claims.

5. In the 3-Party Settlement Agreement between the Complainant, RDD and the Chinese Carrier Handsome, it was stated that “Upon completion of performing (the settlement), all disputes ...shall be settled once and for all; and there shall be no disputes among the three parties ...” (Decision at Page 8)
6. The settled claim for damages is very same claim being sought by the Complainant for “reparations for an injury to the complainant caused by the violation.” See Decision Para. 3 – “Damages” at Page 14.
7. Once settled, the claim has been paid for and satisfied by RDD’s due performance of the Settlement Agreement with the understanding that this dispute had been resolved once and for all!
8. Now the Complainant has turned around taking a second bite of the same apple in this proceeding, and the ALJ just allowed it against common rules of settlement -
9. Unfortunately, ALJ Wirth erroneously concluded the said Settlement Agreement did not affect her assessment of damages in favor of Complainant upon finding that “There is not sufficient evidence to support RDD Freight’s assertion that the Chinese settlement agreement terminates Hangzhou Qianwang’s ability to obtain reparation for the Shipping Act violations at here.” (Decision at Page 16)
10. We submit that, even though the ALJ has the power to rule upon the Shipping Act violation part in this proceeding, the said settlement does take away the damage part of claim because the Complainant had settled the same with RDD “once and for all...” The Settlement Agreement speaks for itself loud and clear! Any second guessing

otherwise n defies conventional wisdom and simple logic.

11. The Initial Decision is unfair, prejudicial and contrary to the FMC precedents in General Motors v. Nippon Yusen Kabushiki Kaisha et al. No. 15-08, 2016 WL 4157600 at *2 (ALJ July 29, 2016); Celanese Corp. v. The Prudential Steamship Co., 20 S.R.R. 27, 30 (ALJ 1980)
12. This Initial Decision will exert a chilling effect on litigating parties' willingness in resolving disputes by means of settlement.

CONCLUSION

For reasons above, the ALJ made harmful errors in applying the fact and law and her Initial Decision was arbitrary, capricious and prejudicial to RDD and against established public policy favoring settlement and fostering cost-effective administering justice. Therefore, we respectfully demand this Honorable Commission to overturn the Initial Decision in favor of Respondent RDD and against Complainant in the interest of fundamental justice and substantial fairness.

RESPECTFULLY SUBMITTED on this day Sept. 19, 2018.


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CERTIFICATE OF SERVICE

I hereby certify, pursuant to Title 28 U.S.C. §1746 and FMC Rules, that on Sept. 19, 2018,

That I served a true and correct copy of the following document:

RESPONDENT'S BRIEF AND MEMO EXCEPTING THE INITIAL DECISION

by mailing it in a sealed envelope, with postage prepaid thereon, in an official depository of the U.S. Postal Service within the State of New Jersey, to be delivered in the following manner to:

1. Via Verified E-Mail: secretary@fmc.gov and judges@fmc.gov

Rachel Dickon, Assistant Secretary of the FMC Commission
800 North Capital Street, N.W.
Washington, DC 20573-0001

2. Via Fedex Overnight Mail with One Original and Four Copies to:

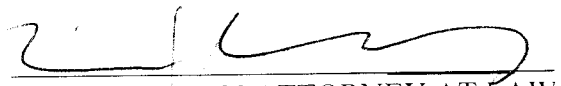
Hon. ALJ Wirth,
Chief of Administrative Law Judge
800 North Capital Street, N.W.

Rachel Dickon, Assistant Secretary of the FMC
800 North Capital Street, N.W.
Washington, DC 20573-0001

3. Via Regular First Class Prepaid Mail and E-mail echohats@aliyun.com to:
Hangzhou Qianwang Dress Co., Ltd.
c/o Lan Ye
36-38 Main Street
Flushing, NY 11355

I declare under penalty of perjury that the foregoing is true and correct.

Dated: New York, New York
Sept. 19, 2018


REN RONG PAN ATTORNEY AT LAW